UCLA Extension

396955: Alternative Investment Strategies MGMT-X 433.032

Spring 2024 Section 1 4 Credits 04/04/2024 to 06/13/2024 Modified 04/05/2024

Meeting Times

Lecture

Thursdays 6:30pm - 9:30pm
Dodd Hall Lecture Hall 147

Description

This course is designed for financial professionals and personal investors who recognize the importance of diversifying their investment portfolios and who have a desire to understand the risks and rewards of asset classes outside of the traditional categories of stocks and bonds. Instruction provides an overview of alternative investment assets, strategies and portfolio management. Topics include hedge funds, private equity, structured products/derivatives and real assets (focus on real estate). Guest lectures given by experienced financial professionals expound upon the various subjects covered.

Objectives

During this course, you will:

- Examine alternative asset classes (outside of traditional assets like stock and bonds) that can diversify and enhance portfolio returns
- Explore a variety of alternative investments and determine if they feel comfortable investing in a particular asset
- Learn how to effectively vet an alternative investment opportunity

Outcomes

By the end of this course, you should be able to:

- Explain how the following asset categories work and determine when it might be appropriate to invest in them:
  - Private Equity & Debt

  - Venture Capital
  - Real Estate
  - Collectibles
- Apply due diligence techniques commonly used to vet alternative investment opportunities
- Effectively assess risks
- Develop your own investment philosophies
- Present an investment opportunity

Materials

Alternative Investments: Instruments, Performance, Benchmarks and Strategies

Author: H. Kent Baker and Greg Filbeck
Publisher: John Wiley & Sons Inc.
ISBN: 978-1-118-28334-9

Deliverables

Evaluation

Criteria

Graded Activities	Points / Percentage	Notes
Attendance	10%	
Class Participation	30%	Class participation is based on you being active and attentive during lectures, contributing to class discussions by asking questions and offering comments, and collaborating with others in small groups. At a MINIMUM you are expected to participate at least once during each class.
Assignments	30%	Weekly
Presentation	30%	Present an investment opportunity to the class
Total	100%	

Breakdown

Grade	Range
A+	100-97
A	<97-93
A-	<93-90
B+	<90-86
B	<86-83
B-	<83-80
C+	<80-77
C	<77-73
F	<73-0

✱ Course Policies

Here are a few expectations I would like you to know about as we begin this course:

- You are expected to read all announcements, weekly readings, and materials provided in the lessons.
- I will be actively checking in to provide you with guidance and support.
- I typically respond to questions within 24 hours.
- Don't procrastinate! Technical difficulties and unplanned events in life occur when least expected, so plan ahead and be prepared.

Discussion Activities

- Your posts should feature good writing demonstrating correct spelling and mechanics.
- Communication should be professional; I expect responses that agree and disagree as long as they apply to the topic and are respectful.
- Your responses should include more than phrases such as "I agree with that" or "Interesting comment." Your posts should incorporate reflections from class discussions, from your peers, your opinions, pertinent information from things that you have read, and examples from your experience.

Assignments

- All assignments should be submitted via Canvas (unless otherwise instructed).
- All work will be graded and feedback provided via the online grade book in Canvas within seven days of the due date.

Deadlines & Late Work

- Submissions of discussions and assignments will not be accepted after the due date posted on Canvas unless arranged with me prior to the due date.
- There are no extensions for the class. All work must be submitted by the last day of class.

Institutional Policies

Student Conduct

Students are subject to disciplinary action for several types of misconduct or attempted misconduct, including but not limited to academic dishonesty, such as cheating, multiple submission, plagiarism, or knowingly furnishing false information to the University; or behavioral misconduct, such as theft or misuse of the intellectual property of others, harassment, or disruption of the learning environment.

All published and unpublished material, whether in manuscript, printed or electronic form, is covered under this definition and includes the use of material generated wholly or in part through the use of artificial intelligence (except when the use of AI has received prior authorization for assessment as a reasonable accommodation for a student's disability, or when the use of AI is a specified part of the coursework, e.g. data science or user experience). Students are encouraged to familiarize themselves with the Student Rights & Responsibilities Policy (https://www.uclaextension.edu/student-services/rights-and-responsibilities) and to report concerns.

Services for Students with Disabilities

In accordance with the Americans with Disabilities Act of 1990, UCLA Extension provides appropriate accommodations and support services to qualified applicants and students with disabilities. These include, but are not limited to, auxiliary aids/services such as sign language interpreters, assistive listening devices for hearing-impaired individuals, extended time for and proctoring of exams, and registration assistance. Accommodations and types of support services vary and are specifically designed to meet the disability-related needs of each student based on current, verifiable medical documentation. Arrangements for auxiliary aids/services are available only through UCLA Extension's Service for Students with Disabilities Office at (310) 825-7851 or by email at ODS@uclaextension.edu. For complete information, please visit Accessibility and Disability Services (https://www.uclaextension.edu/enrollment-and-support/accessibility-and-disability-services).

Incompletes

The interim grade Incomplete (I) may be approved for a student who has completed the majority of the course requirements, with passing quality (grade C or higher), but is unable to complete a small portion of the coursework by the course end date for good cause. For courses in which an Incomplete may be allowed, approval by the instructor of record and the academic program director is required. The Incomplete grade is not an option for courses that do not bear credit, such as 700, 800, or 900-level courses.

- It is the student's responsibility to petition for an Incomplete by emailing the appropriate academic program department (https://www.uclaextension.edu/contact-ucla-extension) at least one week before the end of the course. The Program Department will initiate the petition process once the email is received.
- The student, the instructor, the CE/Program Director, and the program staff must complete the petition prior to the final course meeting or before the quarter end date (https://www.uclaextension.edu/calendar). This process can take up to one week to complete.
- The instructor will approve or deny the request. The instructor will provide details on what the student needs to accomplish in order to complete the course, as well as a due date for submitting completed work. The due date cannot exceed the end of the ensuing quarter (https://www.uclaextension.edu/calendar) when a final grade must be reported or the Incomplete lapses to the grade "F," "NP," or "U." Visit UCLA Extension Grading Scale (https://www.uclaextension.edu/transcripts-credits-grades/grading-scale) for more information.

An Incomplete allows the student to complete only work that is outstanding and does not allow prior completed work to be retaken or resubmitted.

All Grades are Final

No change of grade may be made by anyone other than the instructor, and then, only to correct clerical errors. No term grade except Incomplete may be revised by re-examination. The correction of a clerical error may be authorized only by the instructor of record communicating directly with personnel of Student and Alumni Services.

Sexual Harassment

The University of California is committed to creating and maintaining a community where all individuals who participate in University programs and activities can work and learn together in an atmosphere free of harassment, exploitation, or intimidation. Every member of the community should be aware that the University prohibits sexual harassment and sexual violence, and that such behavior violates both law and University policy. The University will respond promptly and effectively to reports of sexual harassment and sexual violence, and will take appropriate action to prevent, to correct, and when necessary, to discipline behavior that violates our policy.

All Extension students and instructors who believe they have been sexually harassed are encouraged to contact the Department of Student and Alumni Services for complaint resolution: UCLA Extension, 1145 Gayley Ave., Los Angeles, CA 90024; Voice/TTY: (310) 825-7031. For more information, please view the

University's full Policy on Sexual Harassment and Sexual Violence (https://policy.ucop.edu/doc/4000385/SVSH).

Additional Items

Protecting Privacy and Data During Live Instruction

Live meeting sessions for this class, when applicable, are being conducted over Zoom. As the host, the instructor may be recording live sessions. Only the host has the ability to record meetings, no recording by other means is permitted. Recorded sessions will be posted in the Videos area of this class unless otherwise notified. Due to privacy, recordings are not available for download and are only accessible via Canvas for the duration of the class. If you have privacy concerns and do not wish to appear in the recording, do not turn on your video and/or audio. If you also prefer to use a pseudonym instead of your name, please let the instructor know what name you will be using so that the instructor knows who you are during the session. To rename yourself during a Zoom meeting, click on Participants, click on your name, click on More, click on Rename. If you would like to ask a question, you may do so privately through the Zoom chat by addressing your chat question to the instructor only (and not to ""everyone""). Additionally, chat may be used and moderated for live questions, and saving of chats is enabled. If you have questions or concerns about this, please contact the instructor via Canvas Inbox.

Pursuant to the terms of the agreement between Zoom and UCLA Extension, the data is used solely for this purpose and Zoom is prohibited from re-disclosing this information. UCLA Extension also does not use the data for any other purpose. Recordings will be deleted when no longer necessary. However, recordings may become part of an administrative disciplinary record if misconduct occurs during a video conference.

Course and Instructor Evaluation

UCLA Extension values your feedback on course and instructor evaluations. We ask all students to take a few minutes to complete an end-of-course evaluation survey. Updates to the course and instruction are influenced by your feedback. Understanding your student experience is essential to ensure continuing excellence in the online classroom and is appreciated by your instructor and the UCLA Extension academic leadership.

Your participation in a survey is voluntary, and your responses are confidential. After instructors submit grades, they will be given an evaluation report, but this report will not contain your name.

About Your Online Course Materials

Please note the following about online course components at UCLA Extension:

- Students must have basic computer skills, including the use of word processing software, email, and the ability to use internet browsers, such as Safari, Firefox, or Chrome.
- Students are responsible for meeting the technical requirements of Canvas and familiarizing themselves with the Canvas Learning Management System.
    - What are the browser and computer requirements for Canvas? (https://community.canvaslms.com/t5/Canvas-Basics-Guide/What-are-the-browser-and-

computer-requirements-for-Instructure/ta-p/66)

- Students are responsible for keeping a copy of all assignments and work submitted, and to be aware of all assignments, due dates, and course guidelines.
- Students have access to courses via Canvas for an additional 30 calendar days after the course end date listed in the syllabus (the first 14 days are full access; the rest are read-only).
- Students are encouraged to download/print content throughout the duration of the course and before the additional 30-day access ends. No further access is possible after the course becomes unavailable.

  To download all your assignment submissions in Canvas, please refer to the online support guide. (https://community.canvaslms.com/docs/DOC-10606) for more information or contact Canvas Support via the help menu within Canvas.

UCLA Extension Canvas and Learning Support

For immediate 24/7 Canvas technical support, including holidays, click on **Help** (located on the menu to the left) where you can call or chat live with a Canvas Support representative.

UCLA Extension Academic Technology and Learning Innovation
The UCLA Extension Learning Support staff assists both students and instructors with Canvas-related technical support, as well as general and administrative questions.

Learning Support staff is available Monday through Friday, from 8 AM to 9 PM (Pacific Time), except holidays:

- Email: atli@uclaextension.edu (mailto:atli@uclaextension.edu)

Campus Safety Escorts

For students taking classes held on the UCLA campus and in and around Westwood Village, the UCLA Police Department provides a free walking escort service every day of the year from dusk until 1 a.m. Community Service Officers (CSOs) are available to walk students, faculty, staff members and visitors to and from anywhere on campus, in Westwood Village, and in the village apartments. CSOs are uniformed students who have received special training and are employed by the UCLA Police Department. To obtain an escort, please call (310) 794-9255 and allow 15 to 20 minutes for your escort to arrive. For complete information, see UCLA Evening Escorts (https://police.ucla.edu/cso/evening-escorts).

Schedule

When	Module Title	Notes

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Week One	Introductions	Lesson Topics: • Introductions: Who are you you? Activities: • Introduce yourself • Review Syllabus • Set expectations for the class Assignment: • Read Chapters 1 -3 of Alternative Investments Students are encouraged to initiate discussions regarding items they have identified such as investment opportunities, market events, etc.
Week Two	Due Diligence	Lesson Topics: • Sample investment offerings and presentations • Sample term sheets • Securities • Risks and mitigation Activities: • Review sample investment offerings and presentations • Review sample term sheets • Understand the security being offered and the risks, rights and upside associated with each • Identify risks associated with sample investment opportunities Assignment: • Read Chapter 4 of Alternative Investments • Create Due Diligence list and deal team

When	Module Title	Notes
Week Three	Fianancial Modeling	Lesson Topics: • Financial Statements • Financial Projections • Projection Assumptions Activities: • Go over last week's assignment in real time group setting • Link income statement, balance sheet and cash flow statements together in excel • Model working capital assumptions around inventory, accounts receivable and accounts payable • Create debt amortization schedule Assignment: • Create fully integrated financial model with pertinent schedules
Week Four	Private Equity	Lesson Topics: • Term Sheets • Valuation methodologies • Returns Activities: • Go over last week's assignment in real time group setting • Review investment securities including various preferred stock types • Discuss valuation methodologies • Assess and mitigate risk Assignment: • Read Chapters 13-17 of Alternative Investments • Create Valuation Model

When	Module Title	Notes
Week Five	Venture Capital	Lesson Topics: • Term Sheets • Valuation methodologies • Securities • Returns Activities: • Go over last week's assignment in real time group setting • Review investment securities including various preferred stock types • Discuss valuation methodologies • Understanding convertible notes and SAFE's • Identifying market opportunity and competitive landscape • Assess and mitigate risk Assignment: • Read Chapter 12 of Alternative Investments • Create market opportunity pitch • Create competitive landscape pitch
Week Six	Real Estate	Lesson Topics: • Term Sheets • Valuation Methodologies • Due Diligence Activities: • Go over last week's assignment in real time group setting • Assess and mitigate risk Assignment: • Read Chapters 5-11 of Alternative Investments • Identify a real estate investment opportunity

When	Module Title	Notes
Week Seven	Collectibles	Lesson Topics: • Collectible items • Utility • Valuation • Due Diligence Activities: • Go over last week's assignment in real time group setting • Assess and mitigate risk Assignment: • Identify a collectibles investment opportunity
Week Eight	Fundraising	Lesson Topics: • Sources of capital • Crowdfunding • Carried Interest • Structuring Activities: • Go over last week's assignment in real time group setting Assignment: • Read Chapter 28 of Alternative Investments • Create a fundraising plan and term sheet
Week Nine	CIMs & Pitch Decks	Lesson Topics: • Confidential Information Memorandums • What to look for • What questions to ask Activities: • Go over last week's assignment in real time group setting • Critique a pitch deck • Identify what is missing or what would be helpful to know • Verify information presented quickly • Discuss how to make the CIM more compelling Assignment: • Create pitch deck

When	Module Title	Notes
Week Ten	Presentations	Activities: • Present investment opportunity to the class
Week Eleven	Presentations	Activities: • Present investment opportunity to the class